(ii) *Economy Cut* is a cut of specific amount from the total demands made by the government.

(iii) *Disapproval of Policy Cut* is cutting just ‘1 from the total government demands made in the budget. It is a symbolic cut.

(iv) *Guillotine* is the most severe form of the cut motion in which demands by the budget are directly put to vote *without any discussion or scrutiny.* This is the most radical form as it might culminate in the fall of the government—a kind of no confidence motion. Floor-crossing is an imminent danger in this. However, it has never happened in the Indian fiscal arena.

TRILEMMAS

Putting the right kind of fiscal policy has always been the most challenging policy decision to be taken by the democratic governments around the world there are some famous ‘trilemmas’ related to this aspect. Economics have by now many ‘trilemmas’ developed and articulated by economists from time to time and the process still continues. Let us see some highly popular and newsmaking ones:

(i) The **‘financial stability trilemma’** put forward by Dirk Schoenmaker[60] (2008), explains the incompatibility within the euro zone of – **(a)** a stable financial system, **(b)** an integrated financial system, and **(c)** national financial stability policies.

(ii) By far the most high profile current trilemma of the euro-zone (by Edward Chancellor[61]) was believed to be the seeming irreconcilability between its **three wishes,** namely, **(a)** a single currency, **(b)** minimal fiscal contribution to bail outs, and **(c)** the ECB’s commitment to low inflation.

(iii) Martin Wolf[62] spoke about the US Republican Party’s **fiscal policy trilemma: (a)** large budget deficits are ruinous; **(b)** a continued eagerness to cut taxes; and (**c)** an utter lack of interest in spending cuts on a large enough scale.